

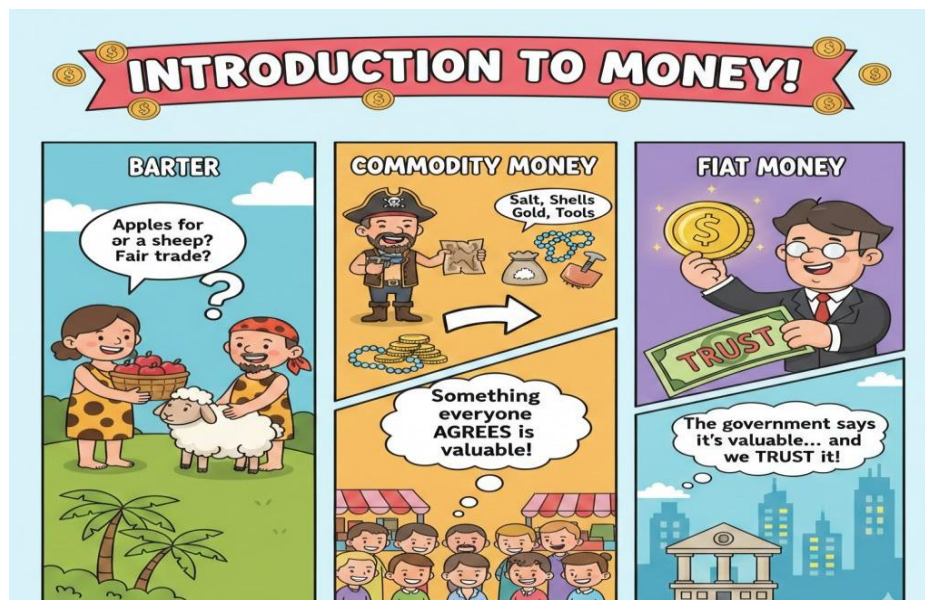
Chapter 01: Introduction to Money and Monetary Economics

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Introduction to Money

Money is one of the most fundamental inventions in the history of human civilization. It plays a central role in every modern economic system. In a simple economy, production, exchange, distribution, and consumption of goods and services are all conducted through the medium of money. Without money, organized economic life would become extremely difficult. In the early stages of civilization, economic transactions were conducted through the barter system, where goods were exchanged directly for other goods. However, the barter system suffered from serious limitations such as the problem of double coincidence of wants, difficulty in measuring value, indivisibility of goods, and problems in future payments. These limitations created the need for a common medium of exchange, which led to the invention of money. In modern economies, money does not only serve as a medium of exchange; it also performs several other important functions such as measuring value, storing purchasing power, and facilitating deferred payments. Moreover, money plays a vital role in economic development, capital formation, trade expansion, and price stability.



What is Money?

"Money is the stock of assets that can be readily used to make transactions"



Conditions of Money

Sl. No.	Condition	Explanation
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1	General Acceptability	Money must be accepted by everyone as a means of payment for goods and services.
2	Divisibility	Money should be divisible into smaller units to facilitate transactions of different amounts.
3	Durability	Money must be long-lasting and not easily damaged or destroyed.
4	Portability	Money should be easy to carry and transfer from one place to another.
5	Uniformity	All units of money must be identical in shape, size, and value to avoid confusion.
6	Recognizability	Money must be easily recognized and difficult to counterfeit.
7	Stability of Value	The value of money should remain relatively stable over time to maintain purchasing power.



Function of Money

1. Medium of Exchange

Money is used to buy and sell goods and services.

It removes the problem of double coincidence of wants in the barter system.

Example: You buy a book by paying money instead of exchanging goods.

2. Unit of Account (Measure of Value)

Money measures the value of goods and services.

It helps in comparing prices easily.

Example: Book = 300 taka, Pen = 20 taka.

3. Store of Value

Money can be saved and used in the future.

It preserves purchasing power over time.

Example: If you save 10,000 taka today, you can use it later.

4. Standard of Deferred Payment

Money is used for future payments and credit transactions.

Loans and debts are settled in terms of money.

Example: You borrow 50,000 taka today and repay after 1 year.

Summary Table

Function	Meaning
Medium of Exchange	Used to buy and sell goods and services
Unit of Account	Measures value of goods and services
Store of Value	Saves purchasing power for future use
Standard of Deferred Payment	Used for future payments and credit transactions



Evolution of Money

Money has evolved gradually over a long historical process. It did not appear in its present form suddenly. Each stage of evolution was introduced to remove the defects of the previous system. The evolution of money can be discussed under the following stages:

1. Barter System

The barter system was the earliest form of exchange in primitive society. Under this system, goods and services were directly exchanged for other goods and services without the use of money. For example, a farmer might exchange rice for fish, or a weaver might exchange cloth for wheat. Although barter was simple and suitable for small societies, it suffered from several serious limitations. The most important problem was the lack of double coincidence of wants. This means that exchange could only occur if both parties wanted each other's goods at the same time. Another major difficulty was the absence of a common measure of value. There was no standard unit to determine how much rice was equal to how much fish. Indivisibility was another problem, as some goods like cattle could not be divided without losing value. Furthermore, storing wealth was difficult because many goods were perishable. Deferred payments were also complicated, since future payments had to be made in goods whose value might change over time. Due to these weaknesses, the barter system gradually became unsuitable for growing economies.

2. Commodity Money

To overcome the defects of barter, people began to use certain commonly accepted commodities as a medium of exchange. This stage is known as commodity money. Commodities such as cattle, salt, tobacco, cowrie shells, gold, silver, and food grains were used as money at different times and places. Commodity money had intrinsic value, meaning the commodity itself had value apart from its use as money. Because these goods were widely demanded and generally accepted, they facilitated trade and reduced the problem of double coincidence of wants. However, commodity money also had limitations. Many commodities were bulky and difficult to transport. Some were perishable and lacked durability. There was no uniform standard of quality and weight. Moreover, divisibility remained a problem in many cases. These difficulties led to the next stage of evolution.

3. Metallic Money (Coinage System)

With further development of trade and commerce, metallic money was introduced. Precious metals such as gold and silver were used in the form of coins. Metals were preferred because they were durable, divisible, portable, and easily

recognizable. In the early stage, coins were made of precious metals and their intrinsic value was equal to their face value. This type of money was known as standard money. Later, token money was introduced, where the face value of the coin was higher than its intrinsic value. Metallic money solved many problems of commodity money. It provided a uniform standard of value and was more convenient for trade. However, metallic money had some disadvantages. It was heavy to carry in large quantities and risky during transportation. Large-scale transactions became inconvenient. These problems encouraged the introduction of paper money.

4. Paper Money

Paper money emerged as a substitute for metallic money. Initially, paper notes were issued as certificates representing deposits of gold or silver. Later, governments and central banks began issuing paper currency as legal tender. Paper money was lighter, easier to carry, and more convenient for large transactions. It reduced the risk and cost associated with transporting metal coins. In modern times, paper money is fiat money, which means it has value because it is declared legal tender by the government. It does not have intrinsic value like gold or silver. Although paper money greatly improved the efficiency of the monetary system, it also required strong government control to prevent excessive issuance, which could lead to inflation.

5. Bank Money

With the expansion of the banking system, bank money became an important part of the monetary system. Bank money refers to demand deposits held in banks that can be transferred through cheques, drafts, and other instruments. Instead of carrying cash, people could deposit their money in banks and make payments by issuing cheques. This increased safety and convenience. Bank money also allowed banks to create credit through the fractional reserve system, which expanded the money supply in the economy. In developed countries, bank deposits constitute a major portion of total money supply. This stage reflects a more advanced and organized financial system.

6. Electronic and Digital Money

The latest stage in the evolution of money is electronic or digital money. With technological advancement, financial transactions are now conducted electronically through online banking, mobile banking, debit and credit cards, and digital wallets. Digital money allows instant transfer of funds without the physical movement of cash. It reduces transaction costs, increases speed, and improves efficiency. In modern economies, electronic payments are becoming more common than cash transactions. This stage represents the most advanced form of monetary development and reflects the integration of technology with finance.

Stage	Form of Money	Main Features	Major Problems
Barter System	Goods exchanged directly	No money used; direct exchange	Double coincidence of wants, no common measure of value, indivisibility
Commodity Money	Cattle, salt, shells, gold, grains	Intrinsic value; generally accepted	Bulky, non-uniform, perishable, difficult to transport
Metallic Money	Gold and silver coins	Durable, divisible, portable, uniform	Heavy for large transactions, risk of theft
Paper Money	Currency notes issued by central bank	Easy to carry, suitable for large payments, legal tender	Risk of over-issue leading to inflation
Bank Money	Demand deposits, cheques	Safe, convenient, reduces need for cash	Depends on banking system stability
Digital Money	Online banking, cards, mobile payments	Instant transfer, low cost, modern technology-based	Requires technology and network security



Classification of Money

Money exists in different forms in an economy. Economists have classified money in various ways depending on its nature, use, and legal status. The important classifications of money are explained below.

1. Commodity Money

Commodity money refers to money that has intrinsic value. The value of such money comes from the material out of which it is made. Gold and silver coins are examples of commodity money. In this case, the face value of the money is equal to its intrinsic value. It is also known as full-bodied money.

2. Fiat Money

Fiat money is money that derives its value from government authority rather than intrinsic value. It has no real value of its own, but it is declared legal tender by the government. Modern paper currency is an example of fiat money.

3. Metallic Money and Paper Money

On the basis of material, money can be classified into metallic money and paper money. Metallic money is made of metals such as gold, silver, copper, or nickel. It may be standard money where intrinsic value equals face value, or token money where face value exceeds intrinsic value. Paper money refers to currency notes issued by the central bank and is generally fiat in nature.

4. Credit Money (Bank Money)

Credit money consists of deposits held in banks that are transferable through cheques, drafts, and other banking instruments. It does not have physical existence like coins or notes but functions as money because it is widely accepted. In modern economies, a large part of the money supply consists of credit money.

5. Near Money

Near money refers to financial assets that are not directly used as money but can easily be converted into money with little loss of value. Examples include treasury bills, bonds, and time deposits. They are highly liquid but are not used directly as a medium of exchange.



Importance of Money

Money plays a vital role in a modern economy. It is not only a medium of exchange but also an essential instrument for production, distribution, consumption, and economic development. The importance of money can be explained as follows:

1. Money and Production

Money plays a crucial role in the process of production. Producers require money to purchase raw materials, pay wages, buy machinery, and meet other production costs. Without money, large-scale production would not be possible. Money also helps producers estimate costs and expected profits, which assists in proper planning and decision-making.

2. Money and Consumption

Money enables consumers to satisfy their wants. With money, individuals can choose goods and services according to their preferences and purchasing power. It provides freedom of choice and allows consumers to postpone consumption for future needs.

3. Money and Distribution

Money facilitates the distribution of income among the factors of production. Wages are paid to labor, rent to landowners, interest to capital owners, and profit to entrepreneurs. Money makes this distribution system simple, accurate, and convenient.

4. Removal of Barter Difficulties

Money eliminates the major problems of the barter system. It removes the need for double coincidence of wants, provides a common measure of value, and simplifies deferred payments. This greatly improves the efficiency of exchange.

5. Money and Capital Formation

Money encourages savings and investment. Savings collected by banks and financial institutions are mobilized and invested in productive activities. This process helps in capital formation, which is essential for economic growth and development.

6. Money and Public Finance

Government revenue and expenditure are conducted in terms of money. Taxes are collected in money form, and public expenditures on development, defense, health, and education are made in money. Therefore, money is essential for the functioning of public finance.

7. Money and Trade

Money facilitates both internal and external trade. Domestic trade becomes easier as money serves as a common medium of exchange. In international trade, foreign currencies are exchanged, but money remains the foundation of all transactions.

8. Money and Economic Development

The supply of money influences economic growth. An adequate supply of money promotes investment, employment, and production. However, excessive money supply may cause inflation, while insufficient supply may slow down economic activities. Therefore, proper management of money supply is crucial for stable economic development.



Concept of Money Supply

Money supply refers to the total stock of money available in an economy at a particular point of time. It includes currency in circulation and demand deposits held by the public in banks. Money supply is a stock concept because it is measured at a specific moment, not over a period of time.

*****Measures of Money Supply***

Money supply is measured in different ways because money exists in various forms in an economy. A single measure cannot fully reflect the total liquidity available in the system. Therefore, economists and central banks use different measures of money supply. In Bangladesh (and similarly in many countries), money supply is classified into four main measures: M1, M2, M3, and M4.

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1. M1 – Narrow Money

M1 is the narrowest and most liquid measure of money supply. It includes currency with the public, demand deposits with commercial banks, and other deposits with the central bank.

$$M1 = C + DD + OD$$

Where C = Currency with the public, DD = Demand deposits, and OD = Other deposits. M1 is called narrow money because it includes components that are directly used as a medium of exchange.

2. M2

M2 is a broader measure than M1. It includes all components of M1 along with savings deposits in post office savings banks.

$$M2 = M1 + \text{Savings deposits (Post Office)}$$

Savings deposits are less liquid than demand deposits but can be converted into cash relatively easily.

3. M3 – Broad Money

M3 is a wider and more comprehensive measure of money supply. It includes all components of M1 along with time deposits held in banks.

$$M3 = M1 + \text{Time Deposits}$$

Time deposits, such as fixed deposits, are less liquid because they cannot be withdrawn immediately without penalty. However, they represent savings and contribute significantly to total money supply. M3 is commonly used for monetary policy and planning.

4. M4

M4 is the broadest measure of money supply. It includes all components of M3 along with total deposits in post office savings organizations.

$$M4 = M3 + \text{Total Post Office Deposits}$$

M4 includes less liquid forms of money compared to other measures and reflects the widest concept of money supply.

Comparison of Measures of Money Supply

Measure	Liquidity Level	Coverage
M1	Highest	Currency + Demand Deposits
M2	High	M1 + Post Office Savings
M3	Moderate	M1 + Time Deposits
M4	Broadest	M3 + Total Post Office Deposits



Demand for Money

Demand for money refers to the desire of individuals and firms to hold money instead of other financial assets. Money is not demanded for its own sake but because it performs important functions such as facilitating transactions and serving as a store of value.

According to J.M. Keynes, people demand money for three main motives: transactions motive, precautionary motive, and speculative motive.

1. Transactions Motive

People demand money to carry out day-to-day transactions. Income is received periodically, but expenditure occurs continuously. Therefore, individuals and businesses need to hold money to bridge the gap between income and expenditure. Transactions demand mainly depends on the level of income and volume of business activities.

2. Precautionary Motive

People hold money for unforeseen expenses such as illness, accidents, or emergencies. This is called precautionary demand for money. This demand also depends on the level of income. Higher income generally leads to higher precautionary balances.

3. Speculative Motive

People hold money to take advantage of future changes in interest rates or bond prices. This is known as speculative demand for money. According to Keynes, speculative demand for money is inversely related to the rate of interest. When the interest rate is high, people prefer bonds and demand for money decreases. When the interest rate is low, people prefer holding money and demand for money increases.